

2022

Canada: Mortgage Bond Purchase Program

Ezekiel Vergara

Yale School of Management

Follow this and additional works at: <https://elischolar.library.yale.edu/journal-of-financial-crises>



Part of the [Economic Policy Commons](#), [Finance and Financial Management Commons](#), [Macroeconomics Commons](#), [Policy Design, Analysis, and Evaluation Commons](#), [Policy History, Theory, and Methods Commons](#), and the [Public Administration Commons](#)

Recommended Citation

Vergara, Ezekiel (2022) "Canada: Mortgage Bond Purchase Program," *Journal of Financial Crises*: Vol. 4 : Iss. 2, 1519-1533.

DOI: <https://doi.org/10.17132/2693-3179.1359>

Available at: <https://elischolar.library.yale.edu/journal-of-financial-crises/vol4/iss2/70>

This Case Study is brought to you for free and open access by the Journal of Financial Crises and EliScholar – A Digital Platform for Scholarly Publishing at Yale. For more information, please contact journalfinancialcrises@yale.edu.

READERS TAKE NOTICE:

As of April 2024, the YPFS Resource Library's site domain has changed to <https://elischolar.library.yale.edu/ypfs-financial-crisis-resource-library/>.

Please be aware that upon clicking any of the URL references to the former Resource Library domains, either <https://ypfs.som.yale.edu> or <https://ypfsresourcelibrary.blob.core.windows.net/>, in the "References/Key Program Documents" section of a case study, readers will encounter a "page not found" error.

Readers can still retrieve a given resource cited within this case study on the [new site](#) by searching [here](#) for the title cited.

Canada: Mortgage Bond Purchase Program¹

*Ezekiel Vergara*²

Yale Program on Financial Stability Case Study

July 15, 2022

Abstract

Given the negative financial and economic shocks of the COVID-19 pandemic, the Bank of Canada (BoC) adopted several policies, including a suite of monetary policies, to maintain a healthy level of market liquidity. Among these measures, the BoC established the Canada Mortgage Bond Purchase Program (CMBP) on March 16, 2020. Through the CMBP, the BoC purchased Canada Mortgage Bonds (CMBs) from primary dealers on the secondary market, holding the CMBs on its balance sheet. The bank created the CMBP, which operated twice weekly and targeted purchases of up to CAD 500 million (USD 373 million) per week, to “support the functioning of the CMB market and the ability of financial institutions to finance mortgage lending to Canadian homeowners.” While the BoC credited the CMBP for maintaining Canadian market liquidity, use of the CMBP declined as the Canadian economy improved. Because of its disuse, on October 15, 2020, the BoC announced the CMBP would cease its operations on October 26, 2020. The CMBP ceased operations as scheduled. In about six months of operation, purchases through the CMBP totaled more than CAD 8 billion.

Keywords: Asset purchases, Canada Mortgage Bond Purchase Program (CMBP), Canada Mortgage Bonds (CMBs), market liquidity

¹This case study is part of the Yale Program on Financial Stability (YPFS) selection of New Bagehot Project modules considering market support programs in response to COVID-19. Cases are available from the *Journal of Financial Crises* at <https://elischolar.library.yale.edu/journal-of-financial-crises/>.

² Research Associate, YPFS, Yale School of Management.

Overview

In March 2020, as the COVID-19 pandemic spread to Canada, oil prices declined, economic uncertainty rose, and governments imposed lockdowns, which negatively affected the financial system and the broader economy. Because of these conditions, creditors feared a severe economic contraction, which would ultimately tighten lending conditions and hamper an economic recovery (BoC 2020f). To prevent this economic fallout, the Bank of Canada (BoC) adopted several measures to increase market liquidity and arrest a potentially severe market downturn (BoC 2020d).

Among these programs, the BoC implemented the Canada Mortgage Bond Purchase Program (CMBP). Through such measures, the BoC aimed to “support the functioning of the CMB market and the ability of financial institutions to finance mortgage lending to Canadian homeowners” (BoC 2020c). Beginning on March 17, 2020, the BoC purchased Canada Mortgage Bonds (CMBs) in the secondary market from primary dealers, generally on a twice-weekly basis. The BoC targeted purchases of up to CAD 500 million (USD 373 million)⁴ per week but stated that it would adjust the frequency and amount of these purchases according to market conditions (BoC 2020h). By purchasing CMBs directly from banks and other primary dealers, the BoC sought to ensure that lenders would have more liquidity, which would allow them to fund loans to households and businesses (Poloz 2020; Traclet 2005). Prior to the CMBP, the BoC purchased CMBs in the primary market as part of its balance-sheet management. These

Key Terms

Purpose: To support the functioning of the CMB market and the ability of financial institutions to finance mortgage lending to Canadian homeowners

Launch Dates Announced: March 16, 2020

Operational Date March 17, 2020

End Date October 26, 2020

Legal Authority Subparagraph 18(g)(i) of the Bank of Canada Act

Source of Funding Expansion of the Bank of Canada’s balance sheet

Administrators Bank of Canada

Overall Size Target purchase of up to CAD 500 million per week but flexible to reflect changing market conditions. Total usage of the CMBP was CAD 8 billion

Purchased Assets Canadian Mortgage Bonds

Peak Utilization³ CAD 305 million of CMBs purchased on March 19, 2020

³ Note that this was the single largest purchase of mortgage bonds, as opposed to the largest purchase in a given week.

⁴ Per Yahoo Finance, USD 1 = CAD 1.34 on March 2, 2020.

purchases were intended to limit adverse impacts on the CMB market and were conducted in accordance with the BoC's operational guidelines (BoC 2020c).

While the CMBP was used early in the COVID-19 crisis, its use declined as the Canadian economy improved (BoC 2020b; BoC 2020c). Notably, after August 2020, the BoC only purchased between CAD 70 million and CAD 190 million of CMBs per week, a fraction of the BoC's original weekly target. In light of this disuse and relative market stability, the BoC discontinued the CMBP on October 26, 2020.

In its six months of operation, the BoC purchased CAD 8 billion of CMBs through the CMBP (BoC 2020c; BoC 2021c). As of February 2022, the BoC continues to hold more than CAD 9 billion of CMBs, CAD 8 billion of which was purchased through the CMBP (BoC 2021b). As of February 2022, no data have been released about whether the BoC has taken losses or made profits from the purchase of CMBs, nor have any data been released pertaining to how many of the CAD 8 billion CMBs the BoC continues to hold.

Summary Evaluation

Little research has been done regarding the CMBP's effectiveness. Nevertheless, the BoC asserted that its asset purchase programs, including CMBP, were successful in maintaining market liquidity. This sentiment was echoed in the BoC's annual review, which argued that the bank's programs "are showing signs of succeeding" (BoC 2020e). Among these successes, the CMBP was credited with "improv[ing] liquidity and funding conditions for lenders, which [helped] business and households access the credit they need" (Poloz 2020).

A BoC staff discussion paper highlights the risks that accompany programs like the CMBP. The authors note that large-scale asset purchase programs, like the CMBP, broke with the BoC's traditional approach of regulating the money supply. Yet, such novelty is not without risk. Notably, the authors suggest that by going beyond the traditional limits of a central bank, the increased "footprint" of central banks may entail new moral hazards. That is, because investors know that central banks may engage in these large-scale asset purchase programs, "they may invest more heavily in riskier or less-easily sold assets, or they may increase leverage more than they otherwise would have" (Fontaine et al. 2021). Such investments, ultimately, may make the financial system riskier and necessitate further financial intervention by central banks.

Context: Canada 2019–2020	
GDP (SAAR, nominal GDP in LCU converted to USD)	\$1.8 trillion in 2019 \$1.8 trillion in 2020
GDP per capita (SAAR, nominal GDP in LCU converted to USD)	\$46,327 in 2019 \$43,258 in 2020
Sovereign credit rating (five-year senior debt)	Data for 2019: Moody's: Aaa S&P: AAA Fitch: AAA Data for 2020: Moody's: Aaa S&P: AAA Fitch: AA+
Size of banking system	Data not available for 2019 Data not available for 2020
Size of banking system as a percentage of GDP	Data not available for 2019 Data not available for 2020
Size of banking system as a percentage of financial system	Data not available for 2019 Data not available for 2020
Five-bank concentration of banking system	84.2% in 2019 84.5% in 2020
Foreign involvement in banking system	Data not available for 2019 Data not available for 2020
Government ownership of banking system	Data not available for 2019 Data not available for 2020
Existence of deposit insurance	Yes, in 2019 Yes, in 2020
<i>Sources: Bloomberg; FRED; World Bank Global Financial Development Database; World Bank Deposit Insurance Dataset.</i>	

Key Design Decisions

1. Purpose: The CMBP was meant to support the CMB market and financial institutions' ability to provide mortgages.

Given falling oil prices, government-imposed lockdowns, and global economic uncertainty due to the COVID-19 pandemic, the BoC established the CMBP to “support the functioning of the CMB market and the ability of financial institutions to finance mortgage lending to Canadian homeowners” (BoC 2020c). The CMBP specifically allowed the BoC to purchase CMBs in the secondary market, as opposed to the bank’s regular operations, which allow the BoC to purchase CMBs in the primary market (BoC 2020c).

2. Part of a Package: The BoC established various COVID-19-related market interventions, many of which were aimed at maintaining market liquidity.

Alongside the CMBP, the BoC established several other measures to calm markets and lay the groundwork for a prospective economic recovery. The BoC enacted other large-scale asset purchase programs, such as the purchase of corporate bonds and provincial and federal government debt. Furthermore, through several liquidity programs, such as the Commercial Paper Purchase Program (CPPP), the BoC attempted to reduce the stress on short-term funding markets and to enhance market liquidity (BoC 2020a; BoC 2020f; Solovieva and Hostland 2020). These interventions by the central bank accompanied a suite of fiscal policies, which policymakers created to stabilize markets (Department of Finance Canada 2020).

3. Legal Authority: The BoC gave itself the ability to buy and sell securities outright, as allowed under the Bank of Canada Act.

Paragraph 18(g) of the Bank of Canada Act gives the Bank of Canada broad discretion to buy and sell securities in normal times (18[g][i])⁵ and in crisis times (18[g][ii]) (Bank of Canada Act 1985).⁶ During the COVID-19 crisis, the BoC gave itself the authority under 18(g)(i) to buy securities outright for CMBP and its other large-scale asset purchase and liquidity programs.

Since 2008, the act has allowed the bank to trade in virtually any security except equity interests in normal times; the crisis authority also extends to equities. The act requires the

⁵ Prior to the Global Financial Crisis, the Bank of Canada Act limited the securities that the bank could buy and sell in normal times to short-term (less than 180-day) credit endorsed, accepted, or issued by a bank (Bank of Canada Act 1985). In 2008, Parliament broadened the scope of 18(g)(i) to allow the purchase or sale of any security issued by any person, other than equity interests. The 2008 revision also clarified that the Bank of Canada had this authority either “for the purposes of conducting monetary policy or promoting the stability of the Canadian financial system.”

⁶ Subparagraph 18(g)(ii) allows the bank to purchase any security in a crisis “if the Governor is of the opinion that there is a severe and unusual stress on a financial market or the financial system” (Bank of Canada Act 1985). This power has been in the act since 2001.

central bank to establish and publish a policy statement describing how it will administer 18(g)(i) during normal times (*Canada Gazette* 2008).

To date, the bank has never taken action under the crisis authority in 18(g)(ii). As such, the bank justified all emergency measures during the pandemic crisis by revising its policy statement under 18(g)(i).

The BoC first published that policy in July 2008. At the time, the bank's policy allowed it to buy and sell securities only through purchase and resale transactions, or "buybacks." For purposes of implementing monetary policy, the bank could buy and sell government of Canada bonds and Treasury bills, typically for a duration of just one day. However, the policy allowed the bank to buy and sell a much broader range of securities for purposes of managing financial system stress—for example, government securities issued by the US and other developed countries, Canadian corporate and municipal bonds, Canadian commercial paper, and Canadian asset-backed securities. The policy originally limited these "exceptional transactions" to terms of 180 days or less. The bank revised the policy in 2009 to allow terms up to 380 days, among other revisions (*Canada Gazette* 2009).

During the pandemic crisis, the bank made two small changes in language to the policy statement, with broad implications. First, on March 13, it gave itself the ability to "engage in outright purchase or sale transactions," rather than buybacks only (*Canada Gazette* 2020a). Second, on March 18, it removed the 380-day limit on the terms of its transactions (*Canada Gazette* 2020b).

4. Governance: A board of directors, which included a governor, oversaw the BoC. The BoC was required to submit financial statements to the minister of Finance and the governor of the BoC. The BoC was also subject to regular audits.

A board of directors oversaw the BoC. The board of directors comprised the BoC's governor, deputy governor, and 12 directors. The board of directors approved the selection of the governor and deputy governor. The Bank of Canada Act required the governor and deputy governor to have financial experience, with each serving seven-year terms. The governor was charged with directing and conducting the BoC. The minister of finance, with approval from the governor-in-council, appointed directors, who served three-year terms. The BoC also had an Executive Committee, which comprised the governor, deputy governor, deputy minister of Finance, and two to four directors. The Executive Committee dealt with matters concerning the board of directors, keeping minutes that were later submitted to the board of directors (Bank of Canada Act 1985).

The minister of finance and the governor of the BoC consulted regularly on monetary and economic policy. The minister of finance could submit to the BoC a directive concerning monetary policy, in cases when the minister of finance and the governor disagreed. In such cases, the BoC was required to comply with the minister of finance's directive, which would be published in the *Canada Gazette* and presented to Parliament (Bank of Canada Act 1985).

Pursuant to Paragraph 18.1(1-2) of the Bank of Canada Act, when the governor took action under Paragraph 18(g), as was the case with the CMBP, the BoC was required to publish its policy in the *Canada Gazette*.

The BoC was subject to internal audit, with the governor responsible for appointing two auditors, with recommendation from the minister of finance. These auditors would conduct annual audits of the BoC. The minister of finance could require audits of the BoC and enlarge the scope of the audit beyond that of the yearly audit. All audits were submitted to the minister of finance and the BoC (Bank of Canada Act 1985).

Within two months of the fiscal year's end, the BoC was required to send the minister of finance its audited financial statements. These financial statements were published in the *Canada Gazette*. A report that the governor considered desirable or that was required by the minister of finance also accompanied these financial statements. The minister of finance would then present this report to Parliament.

5. Administration: The BoC implemented the CMBP.

The BoC purchased CMBs on a twice-weekly basis, targeting purchases of CAD 500 million per week. The BoC purchased CMBs directly from banks and other primary dealers through a competitive tender process (BoC 2020c).

6. Communication: In light of the COVID-19 pandemic, the BoC reassured the public that its policy interventions aimed to maintain market liquidity and lay the foundation for a successful economic recovery.

Given the COVID-19-related economic downturn, the BoC enacted various policies to ensure that financial institutions could extend credit to Canadian households and businesses. Purchasing CMBs was the BoC's primary tool to support the CMB market and facilitate mortgage lending (BoC 2020c).

All in all, the BoC officials deemed the intervention successful (BoC 2021d). As a result, the CMBP was discontinued on October 26, 2020. Nevertheless, the BoC communicated that it remained committed to ensuring market liquidity and that, if necessary, it could restart the CMBP (BoC 2020b).

7. Disclosure: The BoC exceeded its legal disclosure requirements, reporting the results of its individual purchases and reporting its aggregate holds of CMBs every week.

During the CMBP's operation, the BoC reported the results of individual transactions and its aggregate holdings of CMBs weekly on its balance sheet. The BoC disclosed the details of its purchases online, after each operation (BoC 2020c). The BoC also released more specific data about individual holdings, including CMBs, their maturities, and their coupon rates (BoC 2021b).

Pursuant to the Bank of Canada Act, these disclosures exceeded the BoC's legal obligation. Pursuant to Paragraph 29(1-2) of the Bank of Canada Act, the BoC must weekly report its aggregate assets and liabilities and monthly report its holdings of government securities, including CMBs.

8. Use of SPV: The CMBP did not utilize an SPV.

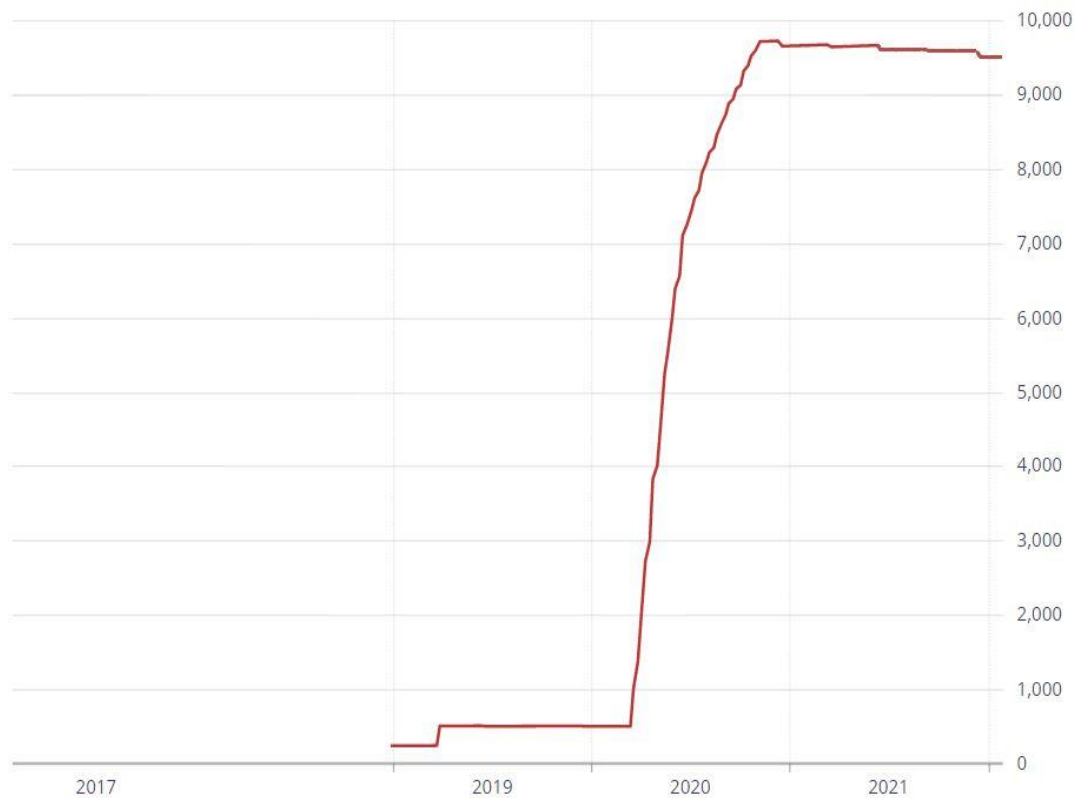
The sources consulted suggest that the CMBP did not use a special-purpose vehicle (SPV).

9. Size: The BoC targeted purchases of up to CAD 500 million per week, though the bank remained flexible to adjust this target to reflect market conditions. The BoC did not establish an overall size limit for the CMBP.

Originally, the BoC aimed to purchase up to CAD 500 million of CMBs per week. The bank conducted the purchases with primary dealers twice a week. However, the BoC remained open to the possibility of increasing both the total amount of CMBs purchased and the rate at which it purchased CMBs. The BoC did not establish an overall size limit for the CMBP. Purchases neared the CAD 500 million target early in the COVID-19 pandemic; however, after August 2020, the CMBP was only used to purchase between CAD 70 million and CAD 190 million of the BoC's weekly capacity. In its six months of operation, the BoC purchased CAD 8 billion of CMBs through the CMBP, expanding the BoC's balance sheet (BoC 2020c; BoC 2021c).

10. Source of Funding: To fund the CMBP, the BoC expanded its balance sheet to purchase CMBs.

The CMBP, in addition to other COVID-19-related policies, was launched by the BoC and funded by its balance sheet (BoC 2020g; Gravelle 2020). The BoC's total holdings of CMBs rose from just more than CAD 1 billion to more than 9 billion through CMBP operations (see Figure 1).

Figure 1: Bank of Canada Assets and Liabilities (weekly Wednesday, in CAD millions)

Source: BoC 2021a.

11. Eligible Institutions: The BoC purchased CMBs from primary dealers in the secondary market.

The BoC dealt directly with primary dealers to purchase CMBs, as part of the CMBP. These purchases occurred in the secondary market. According to its policy for buying and selling securities, established in 2008, the BoC has a separate policy for transactions in the normal course of business and in exceptional circumstances (*Canada Gazette* 2008). This differs from the BoC's traditional procedure, which requires the BoC to purchase CMBs in the primary market "on a non-competitive basis, directly with the Canada Mortgage and Housing Corporation (CMHC)" (BoC 2020c).

12. Auction or Standing Facility: The BoC established the CMBP as a standing facility to purchase CMB twice weekly.

The BoC established the CMBP as a standing facility that would purchase CMBs at twice-weekly intervals on the secondary market with a target of up to CAD 500 million worth of purchases per week (BoC 2020c).

13. Loan or Purchase: The CMBP was an outright purchase program.

The CMBP was an outright purchase program in which the BoC purchased CMBs on the secondary market (BoC 2020c; BoC 2020i).

14. Eligible Assets: Through the CMBP, the BoC specifically purchased CMBs on the secondary market.

CMBs are assets backed by the CMHC, which helps stabilize access to mortgage funding. CMBs pool eligible insured mortgages into securities, which are sold to investors, the funds of which are used to finance residential mortgages (CMHC 2019). The Canadian government guarantees CMBs, with the timely payment of principal and interest (CMHC 2022).

According to its policy for buying and selling securities, established in 2008, the BoC has a separate policy for transactions in the normal course of business and in exceptional circumstances (*Canada Gazette* 2008). In the normal course of business, the BoC purchases CMBs as a means of managing its balance sheet. These normal operations are conducted in the primary market for CMBs with the CMHC. These transactions occur on a “non-competitive basis.” In exceptional circumstances, as under the CMBP, the BoC conducts operations “to support the functioning of the CMB market and the ability of financial institutions to finance mortgage lending to Canadian homeowners” (BoC 2020c). These operations occurred in the secondary market for CMBs, directly with primary dealers. The CMBs purchased by the BoC range in their maturities. Data released by the BoC indicate that the earliest CMBs fully mature in 2021, while others fully mature in 2030 (BoC 2020c).

15. Purchase Price: The BoC priced CMBs through a tender process with primary dealers. No data are available about specific purchase prices.

The BoC purchased CMBs from primary dealers through a competitive tender process (BoC 2020c). No data are available regarding the specific purchase prices for CMBs, though data are available about the BoC’s specific holdings of CMBs (BoC 2021d).

16. Haircuts: This Key Design Decision does not apply to asset purchase programs.

There were no haircuts associated with the CMBP.

17. Interest Rates: This Key Design Decision does not apply to asset purchase programs.

There were no interest rates associated with the CMBP.

18. Fees: There were no fees associated with the CMBP.

The BoC did not charge fees to primary dealers, from whom the BoC was purchasing CMBs (BoC 2020c).

19. Term/Repayment: This Key Design Decision does not apply to asset purchase programs.

As an asset purchase program, there was no term associated with the CMBP.

20. Other Restrictions on Eligible Participants: The BoC worked with primary dealers to purchase CMBs.

To implement the CMBP, the BoC worked specifically with primary dealers, as opposed to the CMHC (BoC 2020c).

21. Regulatory Relief: No regulatory relief was associated with the CMBP.

The sources consulted do not signal that any regulatory relief accompanied the CMBP.

22. International Coordination: It appears that there was no international cooperation with the CMBP.

According to the sources consulted, the CMBP did not entail any international cooperation.

23. Duration: The BoC ended the CMBP on October 26, 2020.

On October 15, 2020, the BoC announced that it would be discontinuing its operations through the CMBP on October 26, 2020. The BoC explained its decision to discontinue the CMBP, writing that “usage in several of the Bank of Canada’s programs that support the functioning of key financial markets has declined significantly” (BoC 2020b). Notably, after August 2020, purchases through the CMBP were below the BoC’s stated weekly target of CAD 500 million of CMBs. Operations through the CMBP were ended, as scheduled, on October 26, 2020 (BoC 2020b; BoC 2020c). However, the BoC asserted that “discontinued facilities [like the CMBP] can be restarted if necessary” (BoC 2020b).

References and Key Program Documents

Summary of Program

(BoC 2021c) Bank of Canada. 2021c. "COVID-19 Economic Response Plan." April 29, 2021. *Report of policy actions undertaken by the Bank of Canada and their results.*
<https://ypfs.som.yale.edu/library/covid-19-economic-response-plan>

(CMHC 2019) Canada Mortgage and Housing Corporation. 2019. "Program Overview." March 11, 2019.
Webpage describing Canada Mortgage Bonds.
<https://ypfs.som.yale.edu/library/document/program-overview>

(CMHC 2022) Canada Mortgage and Housing Corporation. 2022. "Canada Mortgage Bonds: Fact Sheet." February 1, 2022.
Fact sheet explaining Canada Mortgage Bonds.
<https://ypfs.som.yale.edu/library/document/canada-mortgage-bonds-fact-sheet>

(Gravelle 2020) Gravelle, Toni. 2020. "Economic Progress Report: Keeping Markets Working." Remarks presented at the Greater Sudbury Chamber of Commerce, Sudbury, June 4, 2020.
Remarks delivered to the Greater Sudbury Chamber of Commerce explaining the Bank of Canada's response to the COVID-19 pandemic and the prospects of an economic recovery.
<https://ypfs.som.yale.edu/library/economic-progress-report-keeping-markets-working>

(Poloz 2020) Poloz, Stephen S. April 16, 2020. "Opening Statement before the Senate National Finance Committee." Opening Statement presented at the Senate National Finance Committee, Ottawa, April 16, 2020.
Opening statement delivered to Canada's Senate National Finance Committee regarding the Bank of Canada's response to the COVID-19 pandemic.
<https://ypfs.som.yale.edu/library/opening-statement-house-commons-standing-committee-finance>

Implementation Documents

(BoC 2020c) Bank of Canada. 2020c. "Canada Mortgage Bond Purchase Program." 2020. *Bank of Canada webpage detailing the Canada Mortgage Bond Purchase Program, its purpose, and its results.*
<https://ypfs.som.yale.edu/library/canada-mortgage-bond-purchase-program>

(BoC 2020d) Bank of Canada. 2020d. "COVID-19: Actions to Support the Economy and the Financial System." 2020.
Bank of Canada webpage explaining the policies that have been implemented to arrest the COVID-19-related economic downturn.
<https://ypfs.som.yale.edu/library/covid-19-actions-support-economy-and-financial-system>

(BoC 2021a) Bank of Canada. 2021a. "Bank of Canada Assets and Liabilities: Weekly (Formerly B2)." August 13, 2021.

Graph depicting the Bank of Canada's assets and liabilities, including their increased purchase of Canada Mortgage Bonds through the Canada Mortgage Bond Purchase Program.

<https://ypfs.som.yale.edu/library/bank-canada-assets-and-liabilities-weekly-formerly-b2>

(BoC 2021b) Bank of Canada. 2021b. "Bank of Canada Holdings." August 16, 2021. *Data of the government of Canada's holdings, including Canada Mortgage Bonds purchased as part of the Canada Mortgage Bond Purchase Program.*

<https://ypfs.som.yale.edu/library/bank-canada-holdings>

Legal/Regulatory Guidance

(Bank of Canada Act 1985) Bank of Canada Act. 1985. Revised Statutes of Canada, 1985, c. B-2 §18.

Canadian law establishing the Bank of Canada and outlining its purpose and powers.

<https://ypfs.som.yale.edu/library/bank-canada-act>

(Canada Gazette 2008) *Canada Gazette*. 2008. "Policy for Buying and Selling Securities." *Canada Gazette* 142, no. 30: 2235–36.

Notice spelling out the Bank of Canada's policy under the Bank of Canada Act of 1985.

<https://ypfs.som.yale.edu/library/canada-gazette-vol-142-no-30>

(Canada Gazette 2009) *Canada Gazette*. 2009. "Amendment to Policy for Buying and Selling Securities." *Canada Gazette*, Part I 143, no. 26: 1877–1956.

Amendment to the Bank of Canada's policy for buying and selling securities.

<https://ypfs.som.yale.edu/library/document/amendment-policy-buying-and-selling-securities>

(Canada Gazette 2015) *Canada Gazette*. 2015. "Amendment to Policy for Buying and Selling Securities." *Canada Gazette* Part I 149, no. 40: 2335–2353.

Amendment to the Bank of Canada's policy for buying and selling securities.

<https://ypfs.som.yale.edu/library/document/canada-gazette-vol-149-no-40>

(Canada Gazette 2020a) *Canada Gazette*. 2020a. "Amendment to Policy for Buying and Selling Securities." *Canada Gazette* Part I 154, no. 1: 1–4.

Amendment to policy for buying and selling securities.

<https://ypfs.som.yale.edu/library/canada-gazette-extra-vol-154-no-1>

(Canada Gazette 2020b) *Canada Gazette*. 2020b. "Amendment to Policy for Buying and Selling Securities." *Canada Gazette* Part I 154, no. 2: 1–4.

Amendment to the Bank of Canada Act of 1985, altering the emergency powers of the Bank of Canada. Yale Program on Financial Stability Resource Library.

<https://ypfs.som.yale.edu/library/canada-gazette-extra-vol-154-no-2>

Press Releases/Announcements

(BoC 2020a) Bank of Canada. 2020a. "Bank of Canada Announces Additional Measures to Support Market Functioning." Press release, March 20, 2020.

Bank of Canada press release announcing additional measures to ensure market liquidity during the COVID-19 pandemic.

<https://ypfs.som.yale.edu/library/bank-canada-announces-additional-measures-support-market-functioning>

(BoC 2020b) Bank of Canada. 2020b. "Bank of Canada Announces Changes to Programs that Support Key Financial Markets." Press release, October 15, 2020.

Bank of Canada press release announcing that the Canada Mortgage Bond Purchase Program would end on October 26, 2020.

<https://ypfs.som.yale.edu/library/bank-canada-announces-changes-programs-support-key-financial-markets>

(BoC 2020h) Bank of Canada. 2020h. "Operational Details for the Bank of Canada's Purchase of Canada Mortgage Bonds (CMBs) in the Secondary Market." Press release, March 16, 2020.

Bank of Canada press release detailing the operational details of its CMBs purchases.

<https://ypfs.som.yale.edu/library/operational-details-bank-canadas-purchase-canada-mortgage-bonds-cmbs-secondary-market>

(BoC 2020i) Bank of Canada. 2020i. "Results of Today's Canada Mortgage Bond Purchase Operation." Press release, March 17, 2020.

Bank of Canada press release detailing the results of its first CMB purchase through its Canada Mortgage Bond Purchase Program.

<https://ypfs.som.yale.edu/library/results-todays-canada-mortgage-bond-purchase-operation>

(Department of Finance Canada 2020) Department of Finance Canada. 2020. "Canada's COVID-19 Economic Response Plan: Support for Canadians and Businesses." March 18, 2020. *Release by the government of Canada explaining the fiscal policies it was undertaking in light of the COVID-19 pandemic.*

<https://ypfs.som.yale.edu/library/canadas-covid-19-economic-response-plan-support-canadians-and-businesses>

Reports/Assessments

(BoC 2020e) Bank of Canada. 2020e. "Financial System Review—2020." Financial System Review. May 14, 2020.

Annual review by the Bank of Canada, which details the challenges and policies implemented due to the COVID-19 pandemic.

<https://ypfs.som.yale.edu/library/financial-system-review-2020>

(BoC 2020f) Bank of Canada. 2020f. "Monetary Policy Report—April 2020." April 2020. *Quarterly report by the Bank of Canada, presenting its assessment of the Canadian economy,*

growth, and inflation.

<https://ypfs.som.yale.edu/library/monetary-policy-report-april-2020>

(BoC 2020g) Bank of Canada. 2020g. “Monetary Policy Report—October 2020.” October 2020.

Quarterly report that details the Bank of Canada’s monetary policy and assessment of the Canadian economy.

<https://ypfs.som.yale.edu/library/monetary-policy-report-october-2020>

(BoC 2021d) Bank of Canada. 2021d. “Monetary Policy Report—April 2021.” April 2021.

Quarterly report that details the Bank of Canada’s monetary policy and assessment of the Canadian economy in 2021.

<https://ypfs.som.yale.edu/library/monetary-policy-report-april-2021-0>

(Fontaine et al. 2021) Fontaine, Jean-Sébastien, Corey Garriott, Jesse Johal, Jessica Lee, and Andreas Uthemann. 2021. “COVID-19 Crisis: Lessons Learned for Future Policy Research.” Bank of Canada Staff Discussion Paper 2021–2. February 24, 2021.

Bank of Canada research paper examining Canadian financial market disruptions during the COVID-19 pandemic.

<https://ypfs.som.yale.edu/library/covid-19-crisis-lessons-learned-future-policy-research>

(Solovieva and Hostland 2020) Solovieva, Maria, and Doug Hostland. 2020. “Bank of Canada Goes All-In to Safeguard Financial Stability.” TD Economics. April 21, 2020. *Document detailing the Bank of Canada’s response to COVID-19-related economics shocks.* Yale Program on Financial Stability Resource Library.

<https://ypfs.som.yale.edu/node/18259>

(Traclet 2005) Traclet, Virginie. 2005. “Structure of the Canadian Housing Market and Finance System.” Bank of International Settlements Working Paper. January 2005.

Paper describing the role of housing in the Canadian financial system, highlighting it as an area of stability.

<https://ypfs.som.yale.edu/library/structure-canadian-housing-market-and-finance-system>

Copyright 2022 © Yale University. All rights reserved. To order copies of this material or to receive permission to reprint any or all of this document, please contact the Yale Program on Financial Stability at ypfs@yale.edu.